Suggested assessment for this task (Group/Peer assessment)

CRITERIA	YES	NO
Understands why vehicles and equipment are depreciated but not land and buildings		
Understands the difference between the 2 methods for writing off depreciation		
Can express an opinion on which method to use based on sound reasoning		
Understands the effect of depreciation on the financial statements		
Understands the principle of writing off depreciation over a period of time as laid down by SARS		

DISPOSAL OF FIXED ASSETS

TASK 2.13 Groupwork Discussion [LO 3; AS 3.3]

Hugo Cash Solutions

2.13.1 Cost price of the vehicles – price they were bought for.
2.13.2 Total depreciation written off the vehicle from the time of purchase up to the 1 January 20.5
2.13.3 R45 000 (R75 000 – R30 000)
2.13.4 Book value. Vehicles lose value so you are unlikely to sell for the original cost price but rather the book value is a guide as to what you could sell it for.
2.13.5 Allow the learners time to debate and discuss. You are hoping they will realise that it is not only the vehicle at cost that needs to be credited but that entries must also be made in the Accumulated Depreciation account.
2.13.6 There are various options at this stage. Allow them to experiment and not give them the Asset Disposal Account at this stage – rather let them reason out possible methods and double entries.
2.13.7 Various options – good condition, low mileage, extra features e.g. Radio, mag wheels, supply and demand, etc.
2.13.8 Again let the learners come up with their own suggestions. Hopefully they will work out entries to record the profit.

RECORDING OF THE DISPOSAL OF THE ASSET: (At the beginning of the year)

Suggestion: Photostat the following diagram, enlarging it to A3 size and pin it up on your classroom wall or let a group of children to design their own poster.

